

Extending RTGS and CHAPS settlement hours – next steps towards near 24x7 settlement

Consultation paper

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1: Executive Summary

Rapid innovation is driving a shift towards fast, resilient and always-on payments. We aim to lead this transformation by delivering future-ready infrastructure that enables private-sector innovation, improves system-wide outcomes and strengthens UK competitiveness.

This consultation paper sets out our proposed direction for moving RTGS and CHAPS (the UK's high-value payment system) settlement hours toward near 24x7 operation, and the key choices that will shape that journey. Building on the already-announced early morning extension that will see CHAPS open at 01:30 (instead of 06:00) from September 2027, in this paper we outline next steps to extend RTGS/CHAPS settlement hours and advance towards our ambition of near 24x7 settlement.

Extending settlement hours is an important part of delivering our vision of a safe and resilient multi-money ecosystem in which different forms of money – including central bank money, commercial bank money, tokenised deposits and stablecoins – can coexist and interoperate across both conventional and distributed ledger infrastructure. In that future landscape, central bank money remains the ultimate risk-free settlement asset and an essential anchor for the singleness of money. The extension of settlement hours has the potential to drive meaningful benefits for both users of financial services and financial institutions by:

- maximising the benefits from innovation, such as synchronisation;
- making cross-border payments faster, cheaper and more efficient by expanding the overlap with other RTGS systems, thereby extending the global settlement window; and
- improving liquidity efficiency.

Realising these benefits would, however, require resolving a set of important design and implementation questions as well as finding mitigants for identified risks that this paper outlines.

Given the scale of change that is involved in moving towards near 24x7 settlement, we are aware of the importance of providing clarity to industry around our proposed plans and timelines to extend settlement hours to enable preparation. This paper is intended to provide a clear direction of travel, while also providing an opportunity to further develop the case for change. We are therefore seeking input on the use cases and benefits that matter most, the practical constraints of delivering them, and the sequencing and timelines that would maximise net benefits while maintaining safe and resilient settlement.

While no decision on the next steps has been taken, the next phase of extension could follow two approaches:

- an additional settlement day at the weekend – most likely on Sundays – alongside settlement on certain UK bank holidays; and
- lengthening the settlement window on existing settlement days.

We set out the benefits and challenges of each approach and are interested to understand respondents' views.

Sequencing of settlement hours extensions

Our proposed sequencing is to introduce an additional settlement day at the weekend – most likely Sundays – and certain UK bank holidays first, but not before 2029; and subsequently extend the length of those settlement days, but not before 2031. Our view is that settlement at weekends and bank holidays offers greater risk reduction benefits as well as having greater potential to support innovation in payments and other financial services and should therefore be prioritised. We are interested to understand whether respondents support this approach or would prefer a different sequencing.

Furthermore, our current assumption is that we would take these steps separately although we would consider taking both steps together if consultation responses indicate demand for this.

Together, these steps would extend RTGS to 22x6 operation providing CHAPS settlement for 22 hours per day Sunday to Friday. Participants would be also able to undertake liquidity transfers across their own accounts on Saturdays (other than when change windows were scheduled).

For the longer term, we are seeking views on 22x7 versus 23.5x7 as a potential 'near 24x7' long-term extension.

We remain firmly committed to working in partnership with industry to develop a proportionate and well-sequenced path towards extended settlement hours that delivers clear benefits. The views and evidence gathered through the responses to this consultation will play a key role in shaping our future policy approach, including the prioritisation of use cases, the appropriate pace of change and the design of the long-term extension option. We encourage stakeholders to seek views from across their organisations and reflect them in their responses to this consultation, and to take this work forward so it can help support a safe, resilient and competitive UK financial system.

Box A: Proposed changes to settlement hours – a summary

- September 2027: We have confirmed that from September 2027, we will open CHAPS settlement from 01:30, Monday to Friday, instead of 06:00.
- This paper then sets out two next steps towards near 24/7 settlement:
 - an additional settlement day at the weekend – most likely on Sundays – alongside settlement on certain UK bank holidays; and
 - lengthening the settlement window on existing settlement days.
- We seek feedback on the sequencing of these steps or, alternatively, whether there is a case to extend as a single step.
- Our proposal is to **first introduce weekend and bank holiday settlement for RTGS/CHAPS (16.5x6) as the next step – but not before 2029**. This would likely take the form of Sunday and bank holiday settlement for RTGS/CHAPS between 01:30 and 18:00 (excluding Christmas Day, New Year's Day and Easter Sunday).
- **Subsequently, but not before 2031, we propose to extend settlement hours every weekday (Monday to Friday) and one full day at the weekend, likely Sunday (22x6 extension).**
- In the longer term, our proposed options are:
 - Longer settlement hours every day, with slightly longer daily downtime (22x7); or
 - Near-continuous CHAPS settlement with a short daily downtime (23.5x7)

2: Responding to this consultation paper

The aim of this consultation paper is to seek industry input to inform the development of a roadmap to extend settlement hours for RTGS and CHAPS to near 24x7 ('extended settlement hours'). To do this, we are proposing a range of different options to lengthen settlement hours for RTGS and CHAPS and seeking views on a range of policy, operational and technical considerations. We want to understand from a range of stakeholders their preferred sequencing and timelines for this, including what they see as the most relevant/pressing opportunities and use cases, and the main barriers and costs connected to extension.

We would like to hear from a wide range of existing and future users of RTGS and CHAPS services, as well as other interested stakeholders. This includes banks and building societies (including in their capacity as CHAPS direct or indirect participants, and as retail payment system settlement participants), retail payment system operators, other financial market infrastructures (FMIs), potential synchronisation operators and stablecoin issuers, the wider payments industry including fintechs, other technology providers, end-users, trade associations, consumer groups, other central banks and public authorities.

We encourage respondents to provide an organisation-wide position having consulted with impacted areas in their organisations. Please provide responses by 10 August 2026 through <https://app.keysurvey.co.uk/f/41842890/b8d0/> Questions may be directed to RTGSRoadmap@bankofengland.co.uk.

Please indicate in your response if you believe any of the proposals in this paper are likely to impact persons who share protected characteristics under the Equality Act 2010 and, if so, please explain which groups and what the impact on such groups might be.

Please see the [Bank's privacy notice](#) and our [RCEP privacy notice](#) which set out how we handle personal data in the performance of our functions.

3: Our vision

Strategic context

Rapid innovation is reshaping the payments landscape, driven by evolving customer expectations, new business models and accelerating technological change. As digital communication becomes instantaneous, customers increasingly expect financial transactions to be just as fast, resilient and seamlessly available – moving the system towards always-on services. We see this transformation not simply as change to be managed, but as an opportunity to lead. We are committed to delivering future-ready infrastructure and services that provide a strong foundation for private-sector innovation to flourish. Enabling innovation in payments is essential to support new business models, improve outcomes across the financial system and the economy as a whole and drive UK competitiveness.

Our vision is a safe and resilient multi-money ecosystem in which different forms of money – including central bank money, commercial bank money, tokenised deposits, and stablecoins – can coexist and interoperate, supporting settlement of assets held on both existing and new forms of infrastructure. Central bank money is the ultimate risk-free settlement asset; it ensures that different forms of money are interchangeable at equal value (singleness of money) making it an essential anchor for the stability of the wider financial system. For central bank money to remain the anchor in this evolving landscape, it must be secure, accessible and interoperable: supporting smooth movement across different forms of money, assets and ledgers, and enabling innovation across the financial system.

The role of RT2 and the Bank's wider work to enable innovation

As settlement agent for the UK's main sterling payment systems, we operate RTGS, enabling settlement in central bank money. RTGS supports wholesale, high-value and time-critical payments through CHAPS, CREST (the UK's central securities depository) and CLS (a foreign exchange settlement system that eliminates settlement risk in participating currencies), and settles the net positions of the major UK retail payment systems underpinning safe and timely settlement of payments.

We introduced a renewed RTGS service (RT2) in April 2025, which was designed as a platform for innovation. Today a wide range of organisations can access RT2, the system is more resilient, and it has the capability to operate near 24x7. We are working towards delivery of a **Synchronisation service** (launching the **Synchronisation Lab** in May 2026, see section 4) that will enable RT2 to connect to other external ledgers – including those built on distributed ledger technology (DLT), allowing conditional settlement of funds in RTGS against assets on external ledgers. The delivery of synchronisation in combination with existing **omnibus accounts**, and alongside extended settlement hours, will be important enablers in supporting innovation in payments and digital assets.

The Bank's wider work on innovation includes the **Digital Securities Sandbox** (with the FCA), the **Meridian** and **Meridian FX** experiments with the BIS Innovation Hub London Centre, the **DLT Innovation Challenge**, and international collaboration through initiatives such as **Project Agora**. Additionally, the Bank is leading the design of the UK's next-generation retail payments infrastructure focusing on innovation, speed and resilience. As part of this initiative we are working with industry through the new **Retail Payments Infrastructure Board** (RPIB).

These initiatives, alongside HMT's **Wholesale Financial Markets Digital Strategy**, and the Bank and FCA's joint vision for tokenisation in UK wholesale financial markets help us understand how wholesale digital markets might operate in the future and illustrate how central bank money could interact safely with other forms of money, such as tokenised deposits or stablecoins. They also highlight the need for access to settlement in central bank money at a wider range of times than available today, and how extended settlement hours could reduce the mismatch between always-on activity and time-bound settlement.

Improving cross-border payments

We remain committed to supporting the G20 agenda to improve cross-border payments. A key focus of the G20 work is to extend and align RTGS settlement hours to reduce frictions and lower the cost of payments. Differences in RTGS settlement hours across jurisdictions can delay the processing of cross-border payments, increasing liquidity costs and settlement risk. The increasing importance of cross-border payments for industry and consumers is shown by its rapidly increasing market growth. **FXC Intelligence** estimated that in 2024 the global cross-border payments market was worth \$194.6tn and is forecast to reach \$320tn by 2032. Extending and aligning RTGS settlement hours can increase overlap between systems, expand the global settlement window and support faster, cheaper and more predictable cross-border payments. Longer hours may also support innovative cross-border settlement models, such as coordinated payment-versus-payment arrangements. **Many of our central bank peers have already extended or are planning to extend settlement hours.**

We see the extension of settlement hours in the UK as integral to unlock our vision of a multi-money ecosystem, to support innovation in the UK payments landscape and to enhance cross-border payments.

The journey to extend settlement hours

We have publicly stated our ambition to move towards near 24x7 RTGS and CHAPS settlement around the turn of the decade, following a phased approach. Today CHAPS operates 12 hours from 06:00 – 18:00 (Monday – Friday). **In February 2026, we announced** that we will open CHAPS settlement at 01:30, instead of 06:00, Monday to Friday from September 2027, subject to final confirmation of the planned timelines with impacted CHAPS direct participants. This means that CHAPS will be open for settlement for 16.5 hours (from 01:30 – 18:00, Monday – Friday). This is an important milestone in the journey to extend settlement hours. The earlier opening of CHAPS settlement is designed to better align UK settlement with international markets as well as strengthen liquidity and operational resilience.

We are seeking view on the appropriate next step to extend RTGS/ CHAPS settlement hours, beyond the early morning extension.

This paper sets out two paths forward over the medium-term: an additional settlement day at the weekend; and lengthening the settlement window on existing settlement days – and we seek industry views on the optimal sequencing.

Our initial preferred option is to introduce an additional settlement day on the weekend, most likely on Sundays, and certain bank holidays, no earlier than 2029. Such an extension could support use cases such as greater overlap with RTGS systems in other jurisdictions (eg the Middle East and the US from 2028/2029) and reduce risk and liquidity costs for net settlement systems, as it addresses the longest period during which settlement is currently unavailable.

After that, we would propose to extend settlement hours to 22 hours per day (Monday to Friday and one day at the weekend), no earlier than 2031, which will deliver further benefits. Together, these steps would lead to RTGS and CHAPS operating at 22x6 while allowing systems and participants to adapt operationally.

Longer term, we are further seeking views on whether the target end-state should be 22x7 or 23.5x7.

At the same time, there could be demand for use cases such as liquidity transfers (ie to transfer funds between accounts held by the same participant in RT2 to adjust value held in prefunding accounts). This would require the extension of other forms of settlement available in RT2 but not CHAPS settlement. Currently, internal liquidity transfers are available 19x7 but we could consider extending this, subject to demand.

We recognise that longer hours require upfront investment, changes to systems and operating models. This consultation proposes to extend settlement hours in a sequential way, balancing the benefits of material increases in settlement availability to enable different use cases and the cost and complexity of implementing extended settlement hours.

However, we also want to hear from industry if they see a stronger case to extend settlement hours to near 24x7 as the next step and why this approach would be preferred. Therefore, we are seeking evidence from industry to inform the most beneficial use cases, sequencing, timing and end-state.

Box B: RTGS settlement models

RTGS supports the settlement of wholesale, high value and time critical transactions through CHAPS, CREST and CLS, underpinning financial stability by enabling safe and timely settlement while the system is open. RTGS also settles the net obligations of several retail payment systems at scheduled points each day. While individual retail payments are processed in other infrastructures – including outside RTGS settlement hours – RTGS must be open to periodically settle the resulting net positions. We also offer omnibus accounts for recognised payment system operators. An omnibus account holds a pool of participant funds that can be used to fund settlement, constituting reserves, and support new and innovative arrangements.

Based on the feedback received to this consultation, we will engage with other payment system operators to explore potential changes of the timing of their settlements.

While it is our long-term ambition to extend RTGS/CHAPS settlement hours to near 24x7 operation, we might find that **not all use cases would require CHAPS settlement** – instead they may require wider settlement windows for other payment systems that settle through RTGS or simply the ability to access accounts and complete internal transfers (which is currently available 19x7 and could be extended). For example, such internal transfers can be used to adjust value held by firms in their pre-funding collateralisation accounts over the weekend – improving liquidity management for firms.

Some other major central banks offer near 24x7 settlement for certain payment types (eg supporting retail payments) while operating shorter hours for high value payments. Thus, the Bank could decide to set different end-states for CHAPS settlement hours and other forms of settlement available in RT2 (eg 22x6 extension for CHAPS settlement and near 24x7 extension for other forms of settlement).

4: Drivers to extend settlement hours

There are three key drivers that motivate the extension of settlement hours for RTGS/CHAPS towards near 24x7: enabling innovation, enhancing cross-border payments and liquidity and risk management. Below we explore these three key drivers in more detail.

Enabling innovation: Extended settlement hours could support 'always-on' payment solutions (ie uninterrupted transaction processing) and new settlement models that require access to settlement in central bank money beyond today's operating window (06:00 – 18:00). This could include payments using stablecoins, and conditional settlement arrangements in wholesale markets.

How extended settlement hours can help realise the opportunities of digital market transformation

Within its [Wholesale Financial Markets Digital Strategy](#) the UK Government has identified three broad areas where it will drive forward digitalisation of wholesale financial markets to remove outdated processes and realise the potential benefits for new technologies. These areas are:

- Market optimisation: making necessary progressive improvements to drive efficiency and remove frictions;
- Market transformation: applying technologies to fundamentally reimagine and transform wholesale financial markets; and
- Market leadership: working with the financial sector to deliver digitisation and with other jurisdictions and international bodies to deliver a global approach.

Extended settlement hours could play a pivotal role in enabling digital market transformation, as wholesale payments are an essential part of the functioning of wider financial markets. Payments need to be made to settle transactions in other assets such as government and corporate bonds, equities and derivatives. Innovation has the potential to improve efficiency of post-trade process and transform the structure of financial markets. Understanding how innovation may affect these markets is essential in considering the Bank's response.

One key example where we are enabling digital market transformation through RT2 is the introduction of 'synchronisation' functionality. Synchronisation will allow for the conditional settlement of funds in RTGS against assets on a variety of external asset ledgers. This means

the funds will settle if and only if the asset also settles. It will involve a new type of entity, a 'synchronisation operator', which will orchestrate the movement of funds in RTGS with the assets on the external ledgers.

In May 2026, we launched the **Synchronisation Lab** to enable experimentation in a non-live environment where participants can explore how synchronised settlement might work in practice. We selected 18 organisations to take part, with use cases including enhancing house purchases, collateral optimisation, Payment vs Payment for cross-border spot FX and Delivery vs Payment for tokenised securities. The experience gained from the Synchronisation Lab will help us validate our design choices, demonstrate the practical benefits of synchronisation to wider industry and support ecosystem readiness for future implementation.

Synchronisation will allow synchronisation operators to settle in central bank money and with different users and third-party ledgers, irrespective of ledger architecture. This means we would be able to connect RTGS to ledgers built on innovative technology, including DLT, as well as the more traditional systems currently used by many banks. Extended settlement hours will be a critical enabler to realising the opportunities offered by synchronisation (eg for tokenised assets or foreign exchange Payment vs Payment transactions (PvP)) where some use cases require central bank money settlement at all times of the day. Taken together, extended settlement hours and synchronisation could enable financial markets to deliver on the government's vision for market transformation while avoiding the cost and complexity required to build and integrate a new settlement platform.

Enhancing cross-border payments: Greater overlap between RTGS systems (ie expanding the 'global settlement window') could support faster, cheaper and more secure cross-border payments and reduce settlement and liquidity frictions.

How extended settlement hours could help advance the G20 agenda to enhance cross-border payments

Enhancing cross-border payments is a G20 priority as outlined in the **G20 roadmap** report and the **specific quantitative targets**. One key area of focus is extending and aligning RTGS operating hours to help overcome frictions and make payments faster and cheaper.

International coordination of this work is key and recent G20 work has highlighted the concept of a "global settlement window" – the period during which the largest number of RTGS systems operate simultaneously – as a key consideration in reducing cross-border payment frictions. The extension of settlement hours also creates the conditions for the development of innovative new technologies and settlement models to enable greater efficiencies in cross-border payments. For example, Project Meridian FX explores how synchronisation can enable

coordinated settlement (PvP) across systems and time zones, thereby reducing reliance on sequential processing and correspondent banking chains and making cross-border payments faster.

Many of our peer central banks are either in the process or have already extended their settlement hours as Table 1 shows below.

Table 1: Peer central banks' settlement hours

Settlement hours	Country
Traditional settlement hours (less than 13 hours a day)	• Denmark 07:00 – 17:00 • Japan 08:30 – 21:00 • Norway 05:30 – 16:35 • Sweden (non-retail) 07:00 – 18:00 • UK (current hours) 06:00 – 18:00
Extended weekday settlement hours	• Australia (non-retail) 07:30 – 22:00 • Canada 00:30 – 18:00 • EU 02.30 – 18:00 • UK (from September 2027) 01:30 – 18:00 • US 21:00 (T-1, Eastern Time) – 19:00
Weekend settlement	• US 22x6 (from 2028)
Full 24x7 settlement	• Australia (retail only) • India • New Zealand • Sweden (retail only) • Switzerland

Liquidity and risk management: Longer operating hours could enable more frequent net settlement cycles, reduce settlement risk, and allow liquidity to be used more efficiently, lowering prefunding and liquidity cost.

How extended settlement hours could reduce settlement risk and liquidity cost

Today, most retail payments are settled on a net basis in RTGS. Payment system operators periodically calculate each participant's multilateral net position and settle a single net settlement amount in RTGS. Settlement typically occurs after customer payments are processed, with lags varying by system. For example, this lag could be several hours for Faster Payments during the week. But, over, for example, the Easter weekend, the gap between settlements is currently from between Thursday evening and Tuesday morning.

Given that this settlement model allows settlement obligations to accrue over the course of a settlement cycle, it can expose participants to settlement risk. Longer RTGS settlement hours could reduce this risk by enabling more frequent net settlement overnight or at the weekend. Prefunding, used by Bacs, Faster Payments and the cheque-based Image Clearing System, eliminates settlement risk but ties up segregated liquidity at a cost. Longer settlement hours could lower these liquidity costs by allowing firms to adjust allocations in prefunding accounts according to their needs. For systems that use collateral arrangements outside RTGS, these costs could similarly be reduced.

Questions – drivers to extend settlement hours

Question 1:

The Bank has identified the below principal drivers to extend settlement hours:

- Enabling innovation: Can better support 'always-on' payment solutions such as stablecoins, synchronisation as well as future innovation.
- Enhancing cross-border payments: Greater overlap with other RTGS systems can make cross-border payments faster, cheaper and more secure.
- Liquidity and risk management: introduction of additional net settlement cycles can help discharge of obligations, thereby reducing risk and/or liquidity cost.

Which of these drivers are the most important ones or would bring the greatest benefits for the industry and for your organisation and why? For example, could the extension of settlement hours help you to interoperate with or offer new forms of digital money and payments such as stablecoins or enable new cross-border payments services?

Question 2:

Are there any other drivers that we need to consider?

5: Key considerations and potential risks to manage when extending settlement hours

Our motivation to extend settlement hours is ultimately driven by our mission to promote the good of the people of the UK by maintaining monetary and financial stability. In this context, we have previously set out our financial stability risk appetite for wholesale settlement in central bank money, namely that the **Bank has a low-risk appetite for a significant shift away from settlement in central bank money** towards private settlement assets. This points towards a strong case for policy makers to preserve the role of central bank money as an anchor for confidence in the financial system.

As set out above, we believe that extending settlement hours is a necessary step to respond to the financial stability risk that a shift away from settlement in central bank money represents and more broadly to reduce associated risks to UK competitiveness and promote the UK's attractiveness as a place to do business.

Extending settlement hours also underpins the Bank's vision for a multi-money ecosystem. Without sufficient access to central bank money to support innovation in payments, new solutions could get stifled or increasingly develop outside central bank money, potentially weakening its role as the anchor of stability for the wider financial system.

Realising the benefits of extended RTGS/CHAPS settlement hours to near 24x7 would require changes to payment and settlement practices, operational support functions, potentially significant investment in technology and staffing both for the Bank and for industry. Further work is needed to assess the associated risks, related mitigations and costs.

Key considerations for the extension of settlement hours

There are also several wider policy considerations, including the need for liquidity provision and the possible impact of extended hours on resolution activities as well as implications for value date adjustments, change management and staffing implications (discussed below). We seek respondents' feedback on how these are impacted by the options proposed.

Business day/value date considerations

As part of extending settlement hours to near 24x7, we need to determine the point at which RTGS moves from one value date to the next. This is necessary to determine when interest payments are calculated based on end-of-day balances and how cut-off times for same day settlement are managed.

Today, there are 12 hours in which CHAPS does not settle (which will reduce to 7.5 hours from September 2027 when CHAPS will settle from 01:30). This time creates a natural breakpoint between end of settlement and start of settlement on the following business day.

RTGS has a different closing time from CHAPS – RTGS is closed for settlement between 19:00 and 00:15. Between 19:00 and 20:00 – end-of-day and start-of-day processes are completed which include system reconciliation, accounting close-off, the calculation and booking of participants' end-of-day balances and payment of interest on relevant accounts. In the renewed RTGS system, these processes are usually completed in around 30 minutes so there is potential to reduce the closed period substantially. RTGS is then opened for read-only access between 20:00 and 00:15.

We have not yet formed a view on how long this closed window should be; and there are different trade-offs we would need to consider depending on the long-term extension option we pursue (see section 7 for detailed discussion). If we extend settlement hours to 22 hours, this would enable us to have a defined window for maintenance, upgrades, and reconciliation. This could reduce technical challenges and costs for participants, including requiring less significant changes to participants' batch processing. On the other hand, the extension of settlement hours to 23.5 hours in the long-term would maximise settlement time that might be needed to support innovative technologies but will reduce the opportunity to conduct maintenance overnight.

Regardless of how long the window is, we need to determine a point in time at which the system transitions from one value date to the next. This will also likely have knock-on implications for reporting standards and benchmarks across the financial services sector. These implications apply to the production of the SONIA (Sterling Overnight Index Average) benchmark.

We are also considering how to approach contingency extensions in response to operational incidents and will provide further information in due course.

We have identified two possible options so far. These are illustrated below – based on a 22-hour settlement day. Our emerging preference is to align the value date change with the established CHAPS closing times at 18:00 and reopen for settlement after a short break at 20:00 as we think this would be operationally easier to implement for participants and for the Bank.

Change of value date at 18:00 – 20:00 (option 1)

End of CHAPS settlement at 18:00, with the following day's settlement starting after a short closure window at 20:00.

This is the more common operational model among peer central banks (such as the European Central Bank, Swiss National Bank and the Federal Reserve) that have extended settlement hours. This option is our emerging preference – subject to further clarity on legal and regulatory issues. With an end of settlement at 18:00, liquidity provision processes and timelines and treasury management processes would remain unchanged for industry. In addition, both for the Bank and for industry operational support for end-of-day and start-of-day processes could be staffed in more favourable hours, potentially reducing the need for additional shifts.

Such an approach, however, would create a discrepancy between calendar day and value date between 20:00 – 00:00. We would also need to consider the possible future role of contingency extensions and how they could work. We would like to hear from firms about any possible challenges and impacts that have not been covered above.

Further work is needed to fully understand any legal implications and resolve issues where necessary (eg consistency of this model with the requirements of the Payment Services Regulations). We are taking these forward with the Financial Conduct Authority (FCA). In addition, there may be some aspects for firms to consider, including how interest accrual might be treated and applied to customers where the value date is adjusted.

Change of value date at 23:00 – 01:00 (option 2)

Aligning the value date with the calendar day, moving end-of-day to 23:00 and opening RTGS and CHAPS settlement at 01:00.

This may avoid any legal and regulatory issues identified, though it would likely be more challenging from a staffing and liquidity/ treasury management perspective. Participants would most likely need to identify staffing arrangements to support end-of-day processes at 23:00, liquidity provision would need to be extended, and treasury management processes would need to change to accommodate an end-of-day at 23:00.

Weekend considerations

Across jurisdictions, practices vary regarding how weekends are treated. Some jurisdictions treat all payments sent after Friday cut-off time as part of the next business day (so they would have a Monday value date).

RTGS rolls over value date every calendar day, including weekends and bank holidays. If CHAPS payments settle at the weekend and bank holidays, from an RTGS perspective the value date will match the calendar date (except in the case where we open settlement for the next value date before midnight – as suggested in option 1).

A question will remain for banks and other payment service providers as to how they treat value dates on weekends with respect to their customers, especially for firms who may not provide customer-facing services at the weekend.

Liquidity provision considerations

Real-time gross settlement requires CHAPS Direct Participants (DPs) to have sufficient liquidity continuously. During standard settlement hours, CHAPS DPs can decide how they meet these liquidity needs through various means. They could decide to hold cash buffers, borrow from market sources or draw on Bank facilities (including Intraday liquidity (IDL) and the Sterling Monetary Framework (SMF) facilities such as the Operational Standing Facility (OSF) or weekly repo operations). But some of these options might not be available during extended settlement hours eg if money markets and supporting financial market infrastructure do not immediately move to extend their hours.

We provide IDL for day-to-day payment settlement so that eligible CHAPS DPs can settle payments safely and on time as they arise throughout the day. Providing collateralised liquidity directly in central bank money reduces the risk that payments are delayed or fail due to short-term liquidity constraints. This helps prevent the build-up of unsettled obligations and limits the transmission of liquidity stress across the financial system. We expect to be able to provide IDL during extended settlement hours.

In addition to liquidity provision through IDL, facilities under the SMF, particularly OSF, provide support for firms facing unexpected liquidity shocks, such as operational issues or market frictions by providing on-demand lending that covers multiple settlement days.

If we extend CHAPS settlement to near 24x7, we expect that our liquidity facilities would need to be available for us to continue to meet our monetary and financial stability objectives and enable settlement to proceed smoothly. We will aim to ensure that market participants have access to a range of liquidity facilities. This approach will be guided by the liquidity demanded by participants, and our risk tolerance and operational capability. Our approach will also be informed by operational factors and potential constraints on the ability to deliver collateral to us if external securities settlement systems do not operate during extended settlement hours.

Extending CHAPS settlement hours would have wider consequences for the prudential liquidity risk framework, including regulatory liquidity reporting and the PRA's approach to setting intraday liquidity requirements. The Bank and PRA will consider and communicate the appropriate approach in due course.

Change management

Settling near 24x7 would materially reduce the time that is currently available to execute changes to RTGS (particularly at the weekend) and for participants to deliver change in their own systems. Types of change can range from large, planned maintenance releases to ad hoc change eg in response to an incident. Currently, large, planned change to these systems is typically executed at weekends when availability of settlement is not an issue.

There are a range of options for how change management can be delivered alongside near 24x7 settlement. These include, for example, the use of downtime windows to enable change management (as existing systems such as Swift use). Different options will have varying levels of complexity and cost, and where RTGS remains reliant on third party systems such as Swift, its availability for settlement will be affected by downtime windows in those systems in any case.

Our aim is to continue to enable safe operation and resilience of RTGS. This will include the timely implementation of changes in near 24x7 operation. Thus, the choice of the most suitable option for change management will need to balance industry requirements for system availability (including to achieve prospective new use cases), our operational capability, capacity and value for money.

Our initial assessment is that the proposed extension options (weekend extension and 22x6 extension) would ensure at least a 2-hour overnight change window as well as the closure on one weekend day that will preserve sufficient uninterrupted downtime for system changes and upgrades for us and for firms. But, especially for the long-term extension options, we would like to understand from industry what their tolerance for RTGS scheduled downtime to enable change management in a near 24x7 settlement model would be, and the extent to which necessary change will be deliverable under the settlement hours extension options we discuss in section 7.

Participation optionality

CHAPS DPs are currently required to be fully operational and ready to send and receive payments on every CHAPS settlement day from either 07:00 or 08:00 (depending on their participant category). This helps to ensure that, in a highly concentrated real time gross payment system such as CHAPS, participants are sending and receiving payments at the same time, increasing available liquidity in the system (which could be materially impacted by the absence of a small number of key players).

We also set throughput rules for CHAPS. These require certain categories of CHAPS DPs to have settled proportions of their daily payments by value by specified times. This helps to promote efficient liquidity recycling and mitigate operational risk, including at the end of day

therefore supporting overall financial stability. We intend to retain these existing requirements, though respondents should indicate if they believe we should reconsider this position.

We have already decided that sending CHAPS payments before 06:00 will be optional when CHAPS opens at 01:30 – although CHAPS DPs will receive incoming payments from 01:30, regardless of whether they are actively sending payments at that time. The first throughput target will remain at 12:00. This model provides a proportionate approach for DPs who do not have an immediate business case, or client demand, for settling payments from 01:30. This approach was supported by respondents to our July 2025 consultation as it helps manage costs and staffing.

We recognise that making participation optional outside of core settlement hours required today (06:00 – 18:00 Monday-Friday) can reduce the operational burden of extended settlement hours for participants with limited business benefits (from the extension of settlement hours) and we believe that optionality should also apply from start of day to 01:30 Monday – Friday.

We need to consider whether optional participation should also apply for weekend settlement. Therefore, we want to hear from respondents about their appetite for settlement on the weekend and potential use cases – especially keeping in mind that the Federal Reserve plans to implement settlement on Sundays by 2028/2029 – as well as views on the participation requirement at weekends.

Separate participation requirements may also arise through membership of other payment systems that operate on additional days or during extended hours – for example, if a retail payment system were to settle on a Sunday. We will engage further with the payment system operators on these issues during the consultation phase.

When considering optional participation for future extension options our approach will depend on anticipated payment activity during extended settlement hours, and its implications for financial stability and the benefits that can be achieved (particularly where realisation of a benefit requires a critical mass of participants).

Staffing and support model

While 24x7 technical monitoring of RTGS is already in place, extending settlement hours will result in a range of required changes to support operations. We expect that industry will also need to review their staffing and support models for the further extension of settlement hours.

For CHAPS opening at 01:30, CHAPS DPs have broadly supported our proposal to operate an alert-and-respond support model across our business and technology functions, whereby critical, settlement-impacting incidents affecting RTGS or CHAPS services will continue to be responded to outside core settlement hours (ie between 06:00 – 18:00), but

incidents that are non-critical, idiosyncratic or relate to non-core systems, arising during the early morning CHAPS settlement window will be addressed during core settlement hours and support for DPs would not be provided between 01:30 and 05:45.

Our analysis suggests this model could extend to parts of an extended settlement day, especially early in the settlement day, when participants have sufficient time to recover after an incident (in line with our impact tolerance that all critical CHAPS payments should settle by the end of the day) but would not work for a weekend day in its entirety. If we introduce weekend settlement as the next step of extension, our initial assessment indicates that support from across our business and technology functions will need to be available. But further work is needed to develop a more detailed and proportionate support model for weekend settlement, which will depend in part on whether services such as CREST and net settlement will be provided.

We think the alert-and-respond model may be applicable to those periods of an extended settlement day where payment volumes are lower and no key settlement events such as CLS pay-ins, CREST or net settlement are scheduled.

Risks to manage when extending settlement hours

The benefits to moving to longer operating hours are reiterated below:

- **Enabling innovation:** Extended settlement hours could support 'always-on' payment solutions and new settlement models that require access to settlement in central bank money beyond today's operating window (06:00 – 18:00). This could include payments using stablecoins and conditional settlement arrangements in wholesale markets.
- **Enhancing cross-border payments:** Greater overlap between RTGS systems (ie expanding the 'global settlement window') could support faster, cheaper and more secure cross-border payments and reduce settlement and liquidity frictions.
- **Liquidity and risk management:** Longer operating hours could enable more frequent net settlement cycles, reduce settlement risk, and allow liquidity to be used more efficiently, lowering prefunding and liquidity cost.

Against these benefits, we must also consider the risks and costs that could arise from extending settlement hours. The precise nature of the risks and costs will depend on the specific extension option pursued and how the Bank chooses to implement this, factoring in the considerations set out above. A move to longer settlement hours will likely require firms to adapt their risk management and be more agile in managing their resilience.

We will undertake further analysis to assess the risks in more detail and to identify potential mitigants to extend settlement hours in a safe way as part of our ongoing work on assessing responses to this consultation and developing our implementation approach. Below we have

set out how the extension of settlement hours may affect some risks. We would welcome feedback on how our proposals might impact existing risks, introduce new risks to manage and affect participants' risks management to inform our ongoing analysis. We are also interested in understanding any cost implications of investment needed to facilitate extended settlement hours.

Non-financial risks

Operational risk and resilience. In principle, longer settlement hours could increase operational risk by expanding the time in which operational disruptions could take place, including exposure to cyber-attacks. The implications of these disruptions could also be affected if participants introduce wider automation and reduced staffing to mirror possibly lower payment activity during extended hours. This could mean a higher probability and impact of disruptions if incidents were to happen during extended hours and participants do not adequately extend their monitoring and incident response capabilities in line with the extended operating hours.

At present, CHAPS DPs have a long window within which they complete end-of-day and start-of-day processes. This includes system reconciliation, accounting close-off, the calculation and booking of participants' end-of-day balances and payment of interest on relevant accounts. A reduction in the time period to complete these processes will require firms to change systems, processes and staffing levels, and could pose increased operational risks.

Impact on change management. Extending settlement hours increases the time RTGS and CHAPS must operate in a safe and resilient manner. Any extension of settlement hours will reduce current change-management and contingency-testing windows (both for the Bank's and participants' systems), and – following an incident – reduce the recovery time available before settlement activity resumes. As discussed above, this impact would be most significant for a weekend extension, when large, planned change is currently typically executed. This has a wider interaction with other jurisdictions as they also extend their settlement hours. Risks may also be heightened with all participants using the same smaller windows to implement change, pointing to a need to better coordinate any planned system-wide down time. Finally, recent developments in system vulnerability detection capabilities could mean that the need to deploy patches frequently and at speed would increase. The Bank and CHAPS DPs will need to consider how to make the change management support model one that is more agile and fit for longer settlement hours.

Staffing and support model. CHAPS DPs could also face challenges resourcing extended hours (including third party resources), as late night, weekend and bank holiday working could be less attractive. This could lead to increased costs for businesses if they have to compensate staff more to work during extended hours.

Financial risks

Liquidity and settlement risk. Extending settlement hours would have consequences for CHAPS DPs' liquidity risk management, notably as outflows could happen over longer days and continue over weekends and this could occur when there would be reduced sources of market liquidity. This could have consequences for the prudential liquidity risk framework. Today the framework is based on measuring the end of day liquidity, with intraday liquidity considered separately as part of the Liquidity Pillar 2 framework. Longer settlement hours are likely to have implications for liquidity management, including potential changes to methodologies and calibration of liquidity requirements.

We would be interested in hearing from CHAPS DPs and retail scheme participants about how they would need to change their liquidity risk management approach and implications for liquidity requirements. This would include considerations around availability of (or lack of) liquidity provision from both private and public sources, across a range of currencies. We would also value feedback from respondents on the liquidity implications of weekend settlement in particular.

Regulatory liquidity reporting would also likely be impacted. For example, PRA110 is currently reported on a T+1 basis with methodologies assuming no outflows over weekends. In practice, this means weekly reports on Monday are based on close Friday positions. Where settlement hours are extended to include weekends, this would likely require changes to both templates and submission timelines, especially where PRA has moved to daily reporting (for example, in periods of actual or potential specific or market liquidity stress).

Financial stability risks. For an organisation experiencing distress, where possible the weekend has historically been used to take stabilisation action when certain markets are shut. Outflow from banks can already take place at the weekend through Faster Payments which operates 24x7 and in some currencies where RTGS operating hours extend into weekends. Longer settlement availability will make it possible for sterling outflows from banks to continue during weekends at materially greater values. This would also reduce the available time for management and authorities to take action to stabilise a firm during system closure and, in the worst-case scenario, for authorities to step in and execute resolution of a financial institution.

We would welcome the views of firms on how extending settlement hours, particularly weekend settlement, could impact the actions available to stabilise firms in crisis.

Questions – key considerations and potential risks to manage when extending settlement hours

Business day/ value date:

Question 3:

How long should the period between end-of-day and start-of-day be and why?

Question 4:

If the Bank extends RTGS/CHAPS to a 22-hour settlement day – do you agree with the Bank's preferred approach to change the cut-over of the value date in the evening ie CHAPS settlement would start at 20:00 on the previous calendar day? If not, what is your preferred cut-over time and why?

Liquidity:**Question 5:**

Would your organisation's need for intraday liquidity change if RTGS/ CHAPS settlement hours were extended in line with the Bank's proposals (extension to the weekend; 22x6; or near 24x7? If so, what do you think the effect would be?

Question 6:

How does your organisation anticipate managing liquidity needs under the Bank's proposals for extending settlement hours (weekend extension; 22x6 and the long-term extension of near 24x7)?

- Accessing central bank liquidity
- Setting up liquidity buffers to cover settlement during non-standard hours
- Other

Question 7:

What are the reasons for your likely approach? If 'other' please provide details.

Change management:**Question 8:**

What is your organisation's tolerance for RTGS scheduled downtime at the weekend? There would be no service during scheduled downtimes.

- Up to 2 hours;
- Up to 4 hours;
- Up to 6 hours; or
- Longer than 6 hours

Question 9:

How would your organisation aim to accommodate change management in the context of the Bank's proposals to extend settlement hours (weekend extension, 22x6 or near 24x7)? Would you also use scheduled downtime or another approach?

Question 10:

Would the approach of occasional extended downtimes limit the realisation of any use cases that would otherwise be enabled by near 24x7 settlement?

Participation optionality:**Question 11:**

How much flexibility should be provided to participants to choose when they are required to send payments at weekends?

- No optionality
- Full optionality outside core settlement hours from 06:00 – 18:00 Monday - Friday
- Optionality based on the organisation's CHAPS category
- Don't know

Question 12:

What are the reasons behind your preference on the level of flexibility that should be given to participants?

Question 13:

If sending payments is optional during the weekend, would that limit the realisation of use cases for the extension of settlement hours during the weekend?

Staffing and support model:**Question 14:**

Do you agree with the assessment that the alert-and-respond model could be applied to certain periods (such as evening/ early hours of the day) of the extension of settlement hours?

Question 15:

Are there any specific times on weekdays or the weekend when your organisation would need a support presence from the Bank?

Risks:**Question 16:**

Do you agree that we have identified the most material risks arising from extended hours?

Question 17:

Have we appropriately identified areas where extended hours could mitigate or reduce existing risks? Are there other areas we should be aware of?

Question 18:

Do you consider that extending settlement hours, particularly weekend settlement, could impact the actions available to stabilise firms in crisis? If so, how?

General:

Question 19:

Are there any other key topic areas or considerations that the Bank needs to consider in connection to the extension of settlement hours?

6: Near term options to extend settlement hours

We have publicly stated our ambition to move towards near 24x7 operation by around the turn of the decade, and that we intend to implement this using a phased approach. Recognising that the extension of settlement hours will raise a variety of challenges and have cost implications for firms, we are keen to work in partnership with industry to refine this vision, provide clarity and help us to define a roadmap of change.

Our priority is to provide clarity on the next phase of extension after the opening of CHAPS from 01:30 in September 2027, to support industry planning, investment decisions and delivery.

We are seeking views on the appropriate next steps to extend RTGS/ CHAPS settlement hours, beyond moving to opening from 01:30 from September 2027.

This next phase of extension could broadly follow two approaches:

- extending settlement to additional days by introducing weekend settlement; and
- lengthening the settlement window on existing settlement days.

Our current assumption is that we would take these steps separately, though we would consider taking both steps together if consultation responses indicate demand for this.

These two different extension approaches will enable different use cases to varying degrees and will present different levels of benefits, challenges and costs to the Bank and industry. The extent to which the use cases in the two approaches can be realised also depends in part on other payment system operators taking action (eg to introduce settlement in their own payment system outside of current settlement timings). We will engage further with these payment system operators based on the feedback to this consultation.

Introducing weekend and bank holiday settlement

Weekend settlement for RTGS and CHAPS is most likely to initially take the form of settlement on a Sunday. If we introduce weekend settlement, we would aim to also introduce bank holiday settlement as part of that extension, subject to consultation feedback. Bank holidays in scope of this proposal are Easter Monday, Good Friday, both May bank holidays, August bank holiday, Boxing Day and ad hoc bank holidays (see Box C).

Introduction of an additional settlement day at the weekend on Sundays would support an increased overlap with RTGS systems in other jurisdictions such as in the Middle East and the US (from 2028/2029); as well a further day's operation for financial market infrastructures that settle in RTGS.

Net settlement systems would benefit from reduced risk and liquidity costs, since weekends are currently the longest window that settlement is unavailable and net obligations have the greatest scope to build up.

It would also support innovation by enabling services that require real-time interaction with RTGS. One potential example might be synchronisation operators offering a service interacting with, for example, an external asset ledger that operates 24x7. Not all services may need access to CHAPS settlement, however, and the ability to execute transfers between accounts held by the same participant are already available between 00:15 – 19:00 on both Saturdays and Sundays.

The introduction of weekend settlement would also support strategic alignment with developments at peer central banks that are exploring or progressing towards weekend settlement (most notably the Federal Reserve) and synchronise with existing industry maintenance windows, including established Swift scheduled downtime on Saturdays.

Our preferred approach is to align CHAPS settlement hours on weekends and bank holidays with those on weekdays ie 01:30 – 18:00 from September 2027, given the benefits for operational simplicity and clarity for participants and their customers.

We would need to consider participation requirements at weekends and bank holidays. When CHAPS opens at 01:30 from September 2027, sending will be optional before 06:00. This would also apply at weekends. However, we would need to consider what participation requirements would be appropriate during core hours (06:00 – 18:00) at weekends and bank holidays which would, in part, depend on the range of settlement services using RTGS on those additional days. No decision has been taken on participation requirement.

Weekend settlement would introduce challenges:

- Payment system operators and other financial market infrastructures would need to adapt for new opening days.
- Introduction of new value dates/business days on the weekends for banks and other payment service providers.
- Currently, weekends are often used to execute more complex systems change. If we introduce weekend settlement on Sunday this would reduce the change management window from close Friday to start of settlement on Sunday. This would overlap with Swift's regular allowable downtime window (which is on Saturdays).

- It would require operational support on what are currently non-working days, creating additional staffing requirements.
- Other markets or infrastructures might not open in parallel. This would mean that there would be a potential need for liquidity provision at the weekend to support settlement unless the sterling money markets also operated on these days in some form.
- There would be less of a time buffer to recover from potential disruption events earlier in the week.

Lengthening the settlement window on existing settlement days (Monday – Friday)

The alternative step would be to increase the CHAPS settlement window on existing settlement days ie Monday to Fridays excluding UK public and bank holidays. In this option, the start of the settlement day would likely move earlier to 20:00 on the previous day so that settlement would operate continuously from, for example, 20:00 on Tuesday to 18:00 on Wednesday. The consideration of the precise timing is covered in section 5 above.

Certain other RTGS systems already settle significantly longer hours. In particular, Fedwire Funds has settled 22 hours on weekdays since 2003. The Swiss National Bank system closes for only a short window each day.

Introduction of a longer settlement day will further increase overlap with RTGS systems in the Asia Pacific region.

Additionally, it provides longer available operating hours for payment system operators and other financial market infrastructures that rely on RTGS settlement including future providers that may offer services that require real-time interaction with RTGS. However, these would largely be at times outside of traditional business hours.

We would need to consider participation requirements and support arrangements, and no decision has been taken. For opening of CHAPS at 01:30 that will apply from September 2027, sending will be voluntary and our assumption is that this would also apply for the earlier settlement period from 20:00 T-1 to 01:30. Similarly, the alert-and-respond operational support model may also be appropriate for these earlier hours.

Extending the settlement day would introduce challenges:

- Participants' overnight batch system would need to be able to complete within two hours or otherwise run asynchronously when the next RTGS/CHAPS value date begins.
- Introduction of new value dates/business day split for banks and other payment service providers.

- Payment system operators and other financial market infrastructures would potentially need to adapt systems for the settlement day crossing over two calendar dates.
- Potentially longer liquidity provision windows on weekdays to support settlement.
- There would be a shorter change management window to effect overnight changes. However, two hours may provide some opportunity for patching or upgrades if required.
- It would require operational support during what are currently non-working hours, creating additional staffing requirements.

Time of implementation options

As stated earlier, our current proposal is that we would take these extension steps sequentially, although we would consider taking both steps together if consultation responses indicate demand for this.

If we undertake these separately, our proposal would be to introduce weekend and bank holiday settlement as the first step and not before 2029, followed by extending the settlement day but not before 2031.

Both options offer benefits and challenges as set out earlier.

Our view is that settlement at weekends and bank holidays offers greater financial stability risk reduction benefits as well as having greater potential to support innovation in payments and other financial services. However, it may pose greater staffing and support challenges than longer operating hours on weekdays. We welcome feedback to better understand the scale and complexity of the technical impact on participants' systems.

22x6 (extended hours every weekday with one full day of weekend settlement)

Whatever the sequence, once both extension steps are complete, under current proposals we will have reached 22x6 operation that would mean CHAPS was open for around 80% of each week (excluding certain bank holidays). However, this approach would retain short windows for end of day processes and patching each day (most likely 18:00 – 20:00) as well as uninterrupted downtime for system upgrades, testing, and contingency rehearsals for one day each weekend. Introduction of one settlement day on the weekend extends overlap with other jurisdictions while having lower staffing impact than operation on both Saturday and Sunday. Our judgement is that this would strike an appropriate balance between delivering a material increase in settlement availability and retaining sufficient change windows.

It is possible that 22x6 may offer sufficient extension to settlement hours to meet the needs of the innovative technologies that are emerging. Where technologies do not require full CHAPS settlement to operate, we could decide to adopt different end-states for CHAPS and other

RTGS services – for example, extending CHAPS to 22x6 while enabling near-24x7 access for other settlement activities enabling such as transfers between accounts held by the same participant.

However, further extension steps could be required beyond 22x6 if we find that it is needed to support innovative technologies. In this case, we will need to consider whether and how to move to seven-day settlement.

We recognise that each next step to extend settlement hours raises a range of operational, policy, implementation considerations as well as costs that require further assessment. We will therefore take account of respondents' views, alongside further internal analysis, before reaching a decision on the next phase of extension.

Questions on near-term extension of settlement

Weekend and bank holiday settlement:

Question 20:

Do you expect your organisation to make use of the extension if the Bank of England extends RTGS/CHAPS settlement hours:

- to the weekend (most likely Sundays)?
- on the weekday (22x5 extension)?

Question 21:

Which of the options would bring the greatest opportunities for your organisation?

Question 22:

If your organisation would not use these extensions, please explain why and what would have to happen for your organisation to consider using the extended hours in the future?

Time of implementation steps:

Question 23:

Do you agree with the Bank's assessment and proposal to introduce weekend settlement (most likely on Sundays) together with bank holiday settlement as the next step to extend settlement hours not before 2029?

Question 24:

Or would your organisation prefer to extend weekday settlement to 22x5 as the next step of extension on the same timeframe? Please explain your response.

22x6 (extended hours every weekday with one full day of weekend settlement):

Question 25:

Do you agree with the Bank's proposal to broaden the scope of bank holiday settlement and to introduce settlement on Easter Monday, the two May bank holidays, August bank holiday, Good Friday, Boxing Day as well as on ad hoc bank holidays? If not, please explain?

Question 26:

Is it achievable for your organisation to prepare for the introduction of weekend settlement (most likely on a Sunday) and bank holiday settlement as early as 2029? If not, please explain?

Question 27:

Is it achievable for your organisation to prepare for the 22x6 operation (extended hours every weekday with one full day of weekend settlement) as early as 2031? If not, please explain?

Question 28:

Would a long-term extension of 22x6 achieve the main opportunities/ use cases you have highlighted, or would we need to extend to 22x7 or 23.5x7 to achieve all the benefits of the use cases identified?

Box C: Bank holiday settlement

In our [July 2025 consultation paper on extending settlement hours](#), we sought views on introducing additional settlement during certain bank holiday weekends (Easter Monday, the two May bank holidays and August), with implementation no earlier than 2027. The proposal aimed to mitigate the build-up of credit risk, liquidity constraints and settlement delays that can arise when retail payment systems operate continuously but net settlement in RTGS does not take place until the next business day.

We set out two options for industry feedback:

- Net settlement for retail schemes only;
- A short, broader RTGS opening with CHAPS settlement in addition to net settlement for retail schemes, but without CREST or Notes Circulation Scheme activity.

We also sought views on whether settlement would be more effective on the Sunday or the Monday, and on the associated operational, liquidity, participation and settlement challenges, as part of developing a pathway towards near-24x7 settlement.

We received mixed feedback from a range of stakeholders, as set out in our [February 2026 policy statement on the early morning extension](#). Our subsequent internal feasibility analysis has concluded that settlement on the selected bank holiday Mondays has requirements and risks comparable to introducing weekend settlement. We are therefore now considering bank holidays alongside weekend settlement as part of a single approach, enabling us to test capabilities and address common challenges in a coordinated way. This is the approach we are proposing to take as our preferred next step to extend settlement hours.

As part of our new approach, we propose to broaden the bank holidays in scope consistent with other major international RTGS systems. In addition to the four bank holidays already included in our July 2025 consultation paper (Easter Monday, the two May bank holidays and August bank holiday), we now also propose to introduce settlement on Good Friday and Boxing Day. Additionally, we would operate on the basis that settlement would continue on additional bank holidays introduced for special events. Settlement would not take place on New Year's Day or Christmas Day. We would also remain closed on Easter Sunday if we decide to open on Sundays. This approach will incorporate the whole of the United Kingdom, and separate Scotland-only and Northern Ireland-only bank holidays will continue to be treated as standard settlement days.

7: Longer-term options to extend settlement hours

Longer-term extension options

Looking beyond an extension to 22x6 settlement, we have not previously defined in detail what our long-term end-state of 'near 24x7' settlement means. We wish to understand industry's views on two different long-term end-states – extension to 22x7 and extension to 23.5x7 operation.

Settlement on both days at the weekend will raise further questions of the need of liquidity provision during extended hours, as well as higher staffing requirements and costs. It may also require significant technology upgrades, and we would need to establish new approaches to undertaking material system change, prospectively considering scheduled change windows, and contingency testing. These are not elaborated further at this stage.

We understand that industry feedback to this consultation, as well as our own assessment based on public policy objectives, could indicate that it is not necessary to target a near 24x7 end-state for all RTGS services, as certain use cases could be achieved by near 24x7 RTGS non-CHAPS settlement while retaining CHAPS settlement 22x6. The most appropriate end state will be informed by an assessment of benefits and costs, taking into account market practice and structural developments at the time of the decision.

Nevertheless, at this stage, we would welcome views on the marginal benefit associated with moving to 23.5x7 settlement as compared to a move to 22x7 settlement, as well as the benefits and use cases that these extensions could enable.

22x7 (extended hours every day, with longer daily closures)

Settlement extended to be open for a period of 22 hours every day of the week, while retaining a daily closure period of two hours.

Benefits: Such an approach may strike a balance between significantly improving cross-border alignment and innovation while preserving structured closure time. Compared with 23.5x7 settlement, a longer daily closure preserves a defined window for maintenance, upgrades, and reconciliation, potentially reducing technical challenges and costs.

Challenges: While 22x7 settlement delivers significant gains, it may not fully unlock new benefits, eg from innovative technologies, that require near-continuous settlement.

23.5x7 (near-continuous settlement with short daily downtime window)

Near-continuous settlement would mean only short, scheduled daily closures of 30 minutes for reconciliation and control functions.

Benefits: Near-continuous settlement significantly increases the overlap with other major RTGS systems, reducing the need for correspondent prefunding or overnight credit exposure – making cross-border payments cheaper and faster. Such an extension would maximise the benefits of supporting innovative technologies such as synchronisation, tokenised money and securities, and interoperability with always-on faster payment systems.

Challenges: This is the most ambitious extension option, and most likely also the highest cost for the Bank and industry. Removing the two hour closure window each day materially shortens the time available for software upgrades and data maintenance.

Questions on longer-term extension options

Question 29:

Would you prefer the target end-state to be 22x7 operation (extended hours every day, with longer daily closures) or 23.5x7 operation (near-continuous settlement with minimal daily closure window)? Please provide an explanation.

General question:

Question 30:

Please indicate in your response if you believe any of the proposals in this paper are likely to impact persons who share protected characteristics under the Equality Act 2010 and, if so, please explain which groups and what the impact on such groups might be.